Commercial Aerospace

After Q1, Risks Shift to the Second Half

Earnings Forecast Change

Aftermarket growth is running ahead of full-year run-rates, with airline behaviour holding steady despite higher jet fuel prices and geopolitical uncertainty. For Airbus, Q1 marked the trough; delivery performance should improve from here, though P&W bottleneck still delays FCF acceleration.

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Across our commercial aerospace coverage, Q1 earnings delivered five key messages that frame the investment debate for the remainder of the year. Takeaways 1–2 relate to aero-engine exposure, 3–4 are Airbus-specific, while 5 applies sector-wide.

Aero-engine stocks: Q1 was the easy part

1. Q1/ H1 aftermarket performance de-risk FY earnings: Q1 growth across aero-engine aftermarket was ahead of the growth implied in FY guidance for most players. In our coverage, MTU was the exception, delivering growth at the low end of guidance. Q2 momentum remains strong. Guidance and commentary point to another strong quarter ahead of the full-year trajectory at GE Aerospace (not covered) and Safran.

2. Middle East/ higher jet fuel prices: no impact so far; duration is the swing factor. Engine OEMs reported no impact on Q1 results and none expected in Q2, with aftermarket demand holding up. Management indicated no change in customer behaviour, induction plans or retirement decisions at this stage. Shop visit volumes are holding up and continue to be constrained by MRO capacity rather than demand. **The key risk is duration**: a prolonged period of elevated fuel or macro pressure could affect airline cash allocation (workscope, fleet decisions), but this has not yet materialised.

For Airbus, Q1 marks the trough, not the end of execution risk

3. A320 production–delivery mismatch persists in the near term but should unwind from summer. Airbus continues to produce ahead of deliveries, reflecting residual A320 fuselage panel rework and administrative delivery delays to China. While no deliveries occurred in February, deliveries resumed in March and Q2 should improve sequentially versus Q1. That said, deliveries to China remain ~20 aircraft below plans set five months ago. Management expects production and deliveries to broadly converge from H2. Achieving FY guidance of 870 commercial aircraft delivery implies materially higher execution through the remainder of the year, keeping focus on operational consistency rather than demand.

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Completed: 08-May-26, 16:26 GMT Released: 11-May-26, 02:00 GMT Restricted - External

4. On A320: LEAP supply continues to be de-risked; Pratt remains the bottleneck. LEAP production has exceeded 500 units for three consecutive quarters, underpinning ~60% of the planned A320 ramp-up. P&W remains the critical pacing item for further acceleration. Pratt's large engine deliveries declined in Q1 by 6% to 235 units (vs. 250 units in Q1 25), implying 8-12% y/y growth over the remainder of the year to reach MSD to HSD FY growth targets.

Sector-wide

5. Defence continues to outperform. Defence divisions delivered strong top-line and margin performance, supported by robust order intake and sustained customer demand, providing diversification and earnings resilience at group level.

Barclays model updates: We update our forecasts to reflect the latest hedge book that was disclosed with Q1 release. For MTU, Q1 FCF performance permits us to raise our FCF estimates for 2026. Our investment thesis and price targets remain unchanged on Airbus, MTU and Safran.

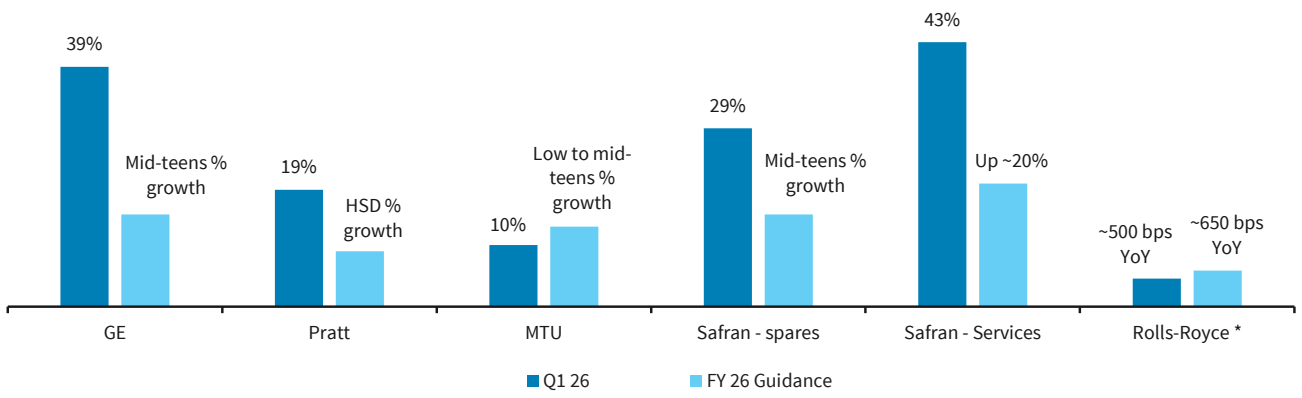
Summary of our Ratings, Price Targets and Earnings Changes in this Report (all changes are shown in bold)

	Rating		Price	Price Target			EPS FY1 (E)			EPS FY2 (E)		
Company	**Old**	**New**	**7-May-26**	**Old**	**New**	**%Chg**	**Old**	**New**	**%Chg**	**Old**	**New**	**%Chg**
European Aerospace & Defence	Neu	Neu										
Airbus (AIR.PA/AIR FP)	OW	OW	183.44	220.00	220.00	-	7.03	**7.05**	-	8.19	**8.24**	1
MTU Aero Engines (MTXGn.DE/MTX GY)	EW	EW	317.40	415.00	415.00	-	19.06	**19.08**	-	20.32	**20.41**	-
Safran (SAF.PA/SAF FP)	OW	OW	294.80	330.00	330.00	-	9.99	**10.05**	1	11.28	**11.34**	1

Source: Barclays Research. Share prices and target prices are shown in the primary listing currency and EPS estimates are shown in the reporting currency. FY1(E): Current fiscal year estimates by Barclays Research. FY2(E): Next fiscal year estimates by Barclays Research. Stock Rating: OW: Overweight; EW: Equal Weight; UW: Underweight; RS: Rating Suspended Industry View: Pos: Positive; Neu: Neutral; Neg: Negative.

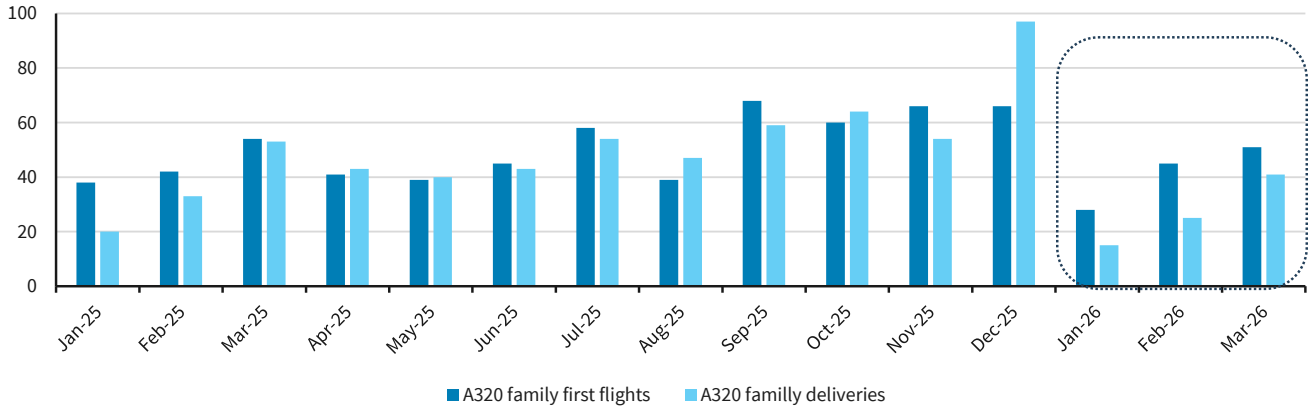
Key learnings from Q1 in charts

FIGURE 1. Aftermarket strength exceeded full-year run-rates



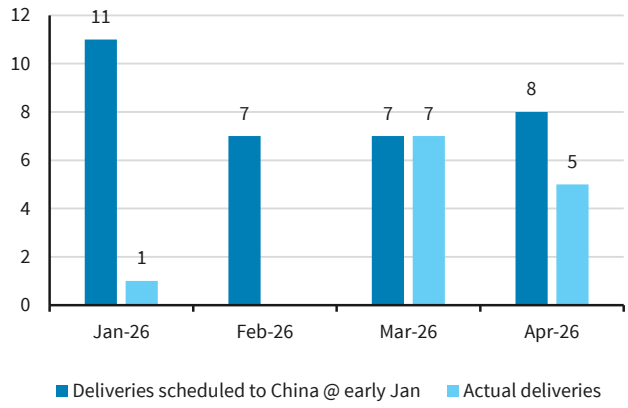
* Rolls-Royce growth represents the YoY change in Large Engine Flight Hours (EFH) compared to 2019 levels
Source: Company reports, Barclays Research

FIGURE 2. A comparison of A320 family first flight and delivery trends reveals a desynchronization between production and deliveries in Q1 26 - these were caused by the fuselage panel rework, China admin issues and constrained supply of GTF engines



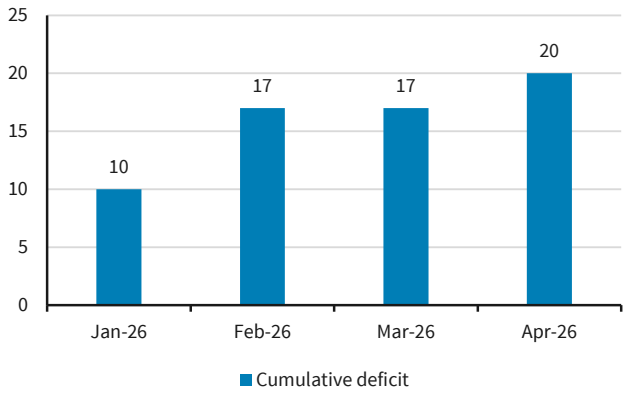
Source: Airbus, Cirium, Barclays Research

FIGURE 3. Airbus announced that ~20 deliveries to China in Q1 were delayed due to administrative issues



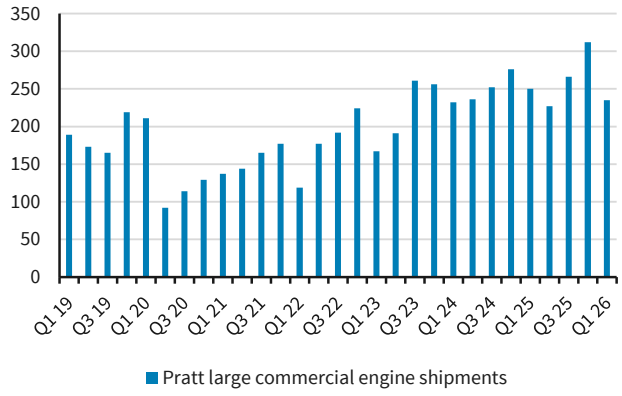
Source: Cirium, Barclays Research

FIGURE 4. The company confirmed that Chinese deliveries had now resumed and the 20 affected aircraft would be delivered in Q2



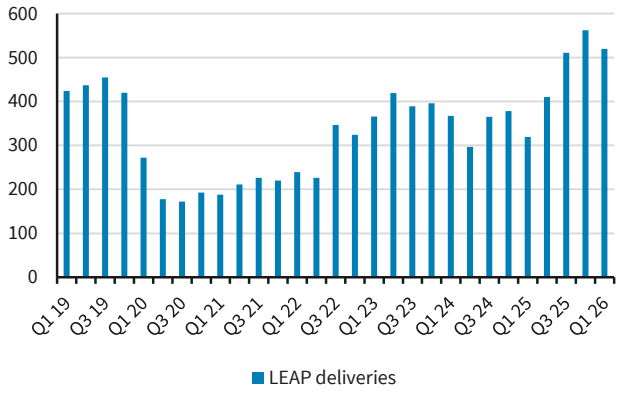
Source: Cirium, Barclays Research

FIGURE 5. Pratt delivered 235 large engines in Q1 26, a 6% YoY decline



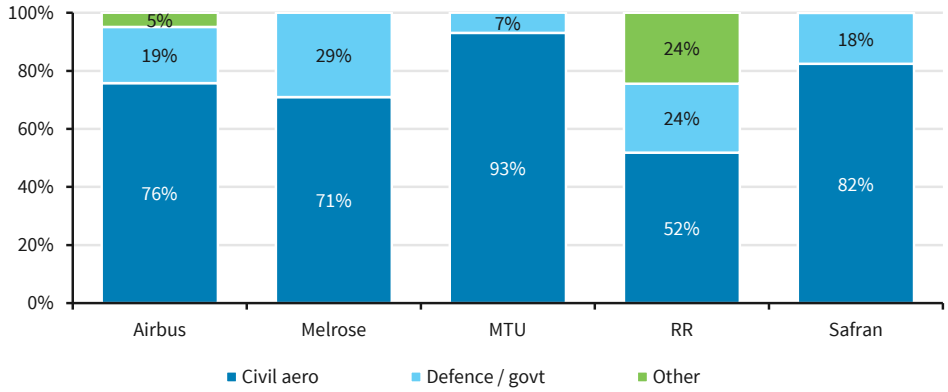
Source: RTX, Barclays Research

FIGURE 6. LEAP deliveries have exceeded 500 engines in each of the past three quarters



Source: GE, Barclays Research

FIGURE 7. While primarily commercial, many aerospace companies benefit from defence exposure, with today's heightened threat environment - unlike past cycles - supporting rising defence budgets globally and providing downside protection to military sales



Source: Company reports, Barclays Research

Company Financials

FIGURE 8. Airbus deliveries by aircraft type

	2025	2026E	2027E	2028E	2029E	2030E
A220	93	111	129	147	156	156
A320 family	607	654	726	793	806	806
A330s	36	40	44	50	55	55
A350	57	66	83	110	121	132
A380	0	0	0	0	0	0
Airbus total deliveries	**793**	**871**	**982**	**1,100**	**1,138**	**1,149**

Source: Company data, Barclays Research estimates

FIGURE 9. Airbus - Income Statement

Dec Year-End (EUR M)	2025A	2026E	2027E	2028E	2029E	2030E
Airbus commercial deliveries	**793**	**871**	**982**	**1,100**	**1,138**	**1,149**
Airbus	52,577	57,384	65,594	74,761	79,553	82,774
Helicopters	8,972	9,244	9,526	9,818	10,119	10,431
Defence & Space	13,405	14,333	15,305	16,343	17,760	19,305
Eliminations/Other	(1,534)	(1,700)	(1,899)	(2,119)	(2,256)	(2,363)
Group Revenues	**73,420**	**79,261**	**88,526**	**98,802**	**105,176**	**110,147**
% Growth	***6%***	***8%***	***12%***	***12%***	***6%***	***5%***
Airbus	5,470	5,593	6,630	8,626	9,474	10,277
Airbus Helicopters	925	960	1,019	1,080	1,143	1,208
Airbus Defence & Space	798	941	1,107	1,249	1,493	1,774
Other	(65)	24	0	0	0	0
Adjusted EBIT	**7,128**	**7,518**	**8,756**	**10,955**	**12,110**	**13,259**
% Growth	***33%***	***5%***	***16%***	***25%***	***11%***	***9%***
Airbus	10.4%	9.7%	10.1%	11.5%	11.9%	12.4%
Airbus Helicopters	10.3%	10.4%	10.7%	11.0%	11.3%	11.6%
Airbus Defence & Space	6.0%	6.6%	7.2%	7.6%	8.4%	9.2%
Adjusted EBIT margin	**9.7%**	**9.5%**	**9.9%**	**11.1%**	**11.5%**	**12.0%**
Underlying EBIT (no capitalisation/exceptionals)	5,577	6,691	7,963	10,121	11,234	12,342
Underlying EBIT margin	**7.6%**	**8.4%**	**9.0%**	**10.2%**	**10.7%**	**11.2%**
Net interest	(60)	(29)	13	87	163	247
Other financial income/(expense)	22	0	0	0	0	0
Profit before tax	**7,090**	**7,490**	**8,769**	**11,042**	**12,273**	**13,506**
Tax	(1,914)	(2,173)	(2,516)	(2,841)	(3,127)	(3,405)
% Tax Rate	27%	29%	29%	26%	25%	25%
Minorities	261	261	261	261	261	261
Net income - adjusted	**5,437**	**5,577**	**6,513**	**8,462**	**9,407**	**10,362**
% Margin	**7.4%**	**7.0%**	**7.4%**	**8.6%**	**8.9%**	**9.4%**
Net income - reported	**5,221**	**5,521**	**6,513**	**8,462**	**9,407**	**10,362**
Average shares - Outstanding	790	790	790	790	790	790
Company defined EPS adjusted - (€)	**6.89**	**7.06**	**8.25**	**10.72**	**11.91**	**13.12**
Company defined EPS (€) - reported	6.61	6.99	8.25	10.72	11.91	13.12
Fully diluted shares - Outstanding	791	791	791	791	791	791
EPS (€) - adjusted	**6.87**	**7.05**	**8.24**	**10.70**	**11.89**	**13.10**
% Growth	***36%***	***3%***	***17%***	***30%***	***11%***	***10%***
EPS (€) - reported	6.60	6.98	8.24	10.70	11.89	13.10
EPS (€) - (no capitalisation or exceptionals)	**5.89**	**6.94**	**8.17**	**10.29**	**11.45**	**12.63**
% Growth	***5%***	***18%***	***18%***	***26%***	***11%***	***10%***
DPS (€)	3.20	3.50	3.80	4.80	5.40	6.00

Source: Company data, Barclays Research estimates

FIGURE 10. Airbus - Cash Flow Statement

Dec Year End (EUR M)	2025A	2026E	2027E	2028E	2029E	2030E
Reported EBIT	**6,082**	**7,442**	**8,756**	**10,955**	**12,110**	**13,259**
Depreciation and Amortisation	3,133	3,333	3,533	3,633	3,633	3,633
Change in current & non current provision	314	(286)	(286)	0	0	0
Results of investment	(305)	(366)	(377)	(388)	(400)	(412)
Results on disposal of non-current asset	17	8	0	0	0	0
Other (incl Valuation Adj.)	(65)	431	0	0	0	0
Interest	(44)	(29)	13	87	163	247
Tax	(965)	(1,392)	(1,610)	(1,847)	(2,189)	(2,383)
Cash from operations Airbus defined	**8,167**	**9,142**	**10,029**	**12,441**	**13,318**	**14,345**
Change in WC	94	0	0	0	0	0
Cash from operations	**8,261**	**9,142**	**10,029**	**12,441**	**13,318**	**14,345**
Capex	(3,964)	(4,412)	(4,184)	(4,184)	(4,184)	(4,184)
Other acquisitions/dispositions	277	(54)	0	0	0	0
Free cash flow pre customer financing	**4,574**	**4,676**	**5,845**	**8,257**	**9,134**	**10,161**
Customer financing	179	63	0	0	0	0
Free cash flow post customer financing	**4,753**	**4,739**	**5,845**	**8,257**	**9,134**	**10,161**
Net M&A	149	0	0	0	0	0
Dividends	(2,372)	(2,527)	(2,764)	(3,000)	(3,790)	(4,264)
Pension payments	(272)	(300)	(300)	(300)	(300)	(300)
Change in equity capital	(531)	1	0	0	0	0
FX / Other non-cash items	(1,309)	176	0	0	0	0
Net Debt (increase) / decrease	**418**	**2,089**	**2,782**	**4,956**	**5,044**	**5,597**
(Net Debt) /Cash	**12,171**	**14,260**	**17,042**	**21,998**	**27,042**	**32,639**

Source: Company data, Barclays Research estimates

FIGURE 11. MTU - Income Statement

Dec Year-End (EUR M)	2025A	2026E	2027E	2028E	2029E	2030E
Commercial OEM	2,260	2,400	2,524	2,665	2,821	2,964
Military OEM	614	682	703	747	799	856
Commercial MRO	5,960	6,667	7,258	7,628	8,160	8,639
Other	(118)	(118)	(128)	(138)	(148)	(158)
Group Revenues	**8,717**	**9,631**	**10,357**	**10,902**	**11,632**	**12,300**
% Growth	***16%***	***10%***	***8%***	***5%***	***7%***	***6%***
EBITDA adjusted	**1,794**	**1,890**	**2,008**	**2,197**	**2,406**	**2,605**
% Margin	**21%**	**20%**	**19%**	**20%**	**21%**	**21%**
Depreciation and Amortisation	(443)	(442)	(483)	(524)	(566)	(608)
OEM Segment	873	922	950	1,014	1,136	1,252
Commercial MRO	478	526	575	658	704	745
Adjusted EBIT	**1,351**	**1,448**	**1,526**	**1,672**	**1,840**	**1,997**
% Growth	***29%***	***7%***	***5%***	***10%***	***10%***	***9%***
OEM Segment	30.4%	29.9%	29.4%	29.7%	31.4%	32.8%
Commercial MRO	8.0%	7.9%	7.9%	8.6%	8.6%	8.6%
Adjusted EBIT margin	**15.5%**	**15.0%**	**14.7%**	**15.3%**	**15.8%**	**16.2%**
Net interest	(56)	(52)	(44)	(33)	(22)	(8)
Pension interest	(27)	(27)	(27)	(27)	(27)	(27)
Other financial income/(expense)	66	0	0	0	0	0
Profit before tax	**1,268**	**1,368**	**1,455**	**1,612**	**1,791**	**1,961**
Tax	(300)	(317)	(330)	(361)	(400)	(437)
% Tax Rate	24%	23%	23%	22%	22%	22%
Minorities	11	11	11	11	11	11
Net income - adjusted before minorities	**957**	**1,040**	**1,114**	**1,239**	**1,380**	**1,514**
% Margin	11.0%	10.8%	10.8%	11.4%	11.9%	12.3%
Net income - reported	1,017	1,003	1,076	1,221	1,361	1,496
Average shares - Outstanding	54	54	54	54	54	54
Company defined EPS (€) - adjusted	**17.79**	**19.34**	**20.71**	**23.04**	**25.65**	**28.15**
% Growth	***27%***	***9%***	***7%***	***11%***	***11%***	***10%***
Fully diluted shares - Outstanding	55	55	55	55	55	55
EPS (€) - adjusted	**17.56**	**19.08**	**20.41**	**22.69**	**25.24**	**27.68**
EPS - reported	18.90	18.64	20.01	22.70	25.31	27.81
DPS (€)	3.60	3.90	5.20	6.90	9.00	11.30

Source: Company data, Barclays Research estimates

FIGURE 12. MTU - Cash Flow Statement

Dec Year End (EUR M)	2025A	2026E	2027E	2028E	2029E	2030E
EBIT reported	**1,379**	**1,397**	**1,475**	**1,647**	**1,815**	**1,972**
Depreciation and Amortisation	416	481	521	537	579	621
Interest	(56)	(52)	(44)	(33)	(22)	(8)
Tax	113	(195)	(317)	(355)	(394)	(430)
Other	(600)	(202)	(188)	(224)	(254)	(286)
Cash from operations pre WC	**1,252**	**1,428**	**1,448**	**1,572**	**1,725**	**1,869**
Change in WC	(404)	(414)	(181)	(142)	(117)	3
Cash from operations	**848**	**1,014**	**1,267**	**1,430**	**1,607**	**1,872**
Capex (tangible assets)	(344)	(345)	(350)	(360)	(360)	(360)
Capex (intangible assets) & others	(126)	(115)	(116)	(111)	(106)	(101)
Free cash flow	**378**	**554**	**801**	**959**	**1,141**	**1,411**
Net M&A	0	0	0	0	0	0
Dividends	(131)	(194)	(210)	(280)	(371)	(484)
Change in equity capital	0	0	0	0	0	0
FX / Other non-cash items	(323)	(122)	0	0	0	0
Net Debt (increase) / decrease	**(76)**	**238**	**591**	**679**	**770**	**927**
Net Debt /(Cash)	**1,136**	**898**	**307**	**(372)**	**(1,142)**	**(2,069)**

Source: Company data, Barclays Research estimates

FIGURE 13. Safran - Income Statement

Dec Year-End (EUR M)	2025A	2026E	2027E	2028E	2029E	2030E
Hedge rate	1.12	1.12	1.12	1.12	1.13	
Spot rate	1.13	1.17	1.19	1.22	1.22	1.22
- o/w Spare parts growth (%)	17.6%	13.6%	9.6%	11.2%	8.5%	10.3%
- o/w Services growth (%)	30.0%	21.8%	10.9%	7.4%	4.2%	14.0%
Leap delivery	1,802	2,115	2,297	2,585	2,635	2,648
Aerospace Propulsion	15,668	17,840	19,382	21,019	21,782	23,139
Equipment, Defense & Aerosystems	12,302	14,654	15,449	16,532	17,422	18,292
Aircraft Interiors	3,349	3,019	3,278	3,586	3,845	4,106
Holding company & Others	10	10	10	10	10	10
Group Revenues	**31,329**	**35,523**	**38,118**	**41,147**	**43,058**	**45,547**
Aerospace Propulsion	3,600	4,192	4,572	4,985	5,266	5,560
Equipment & Defense	1,564	1,914	2,176	2,450	2,511	2,347
Aircraft Interiors	108	113	181	269	344	358
Holding company & Others	(77)	(28)	(30)	(33)	(35)	(40)
Recurring op. profit - Safran reported	**5,195**	**6,192**	**6,900**	**7,672**	**8,085**	**8,225**
Aerospace Propulsion	23.0%	23.5%	23.6%	23.7%	24.2%	24.0%
Equipment & Defense	12.7%	13.1%	14.1%	14.8%	14.4%	12.8%
Aircraft Interiors	3.2%	3.7%	5.5%	7.5%	8.9%	8.7%
Recurring op. margin - Safran reported	**16.6%**	**17.4%**	**18.1%**	**18.6%**	**18.8%**	**18.1%**
Aerospace Propulsion	3,825	4,404	4,866	5,489	5,842	6,303
Equipment & Defense	1,564	1,914	2,176	2,450	2,511	2,347
Aircraft Interiors	108	113	181	269	344	358
Holding company & Others	(77)	(28)	(30)	(33)	(35)	(40)
Recurring op. profit - Underlying	**5,420**	**6,403**	**7,194**	**8,175**	**8,661**	**8,968**
Recurring op. margin - Underlying	**17.3%**	**18.0%**	**18.9%**	**19.9%**	**20.1%**	**19.7%**
Recurring EBIT (no cap. / excep.)	**5,142**	**6,069**	**6,813**	**7,738**	**8,170**	**8,411**
Other non-recurring op. inc/exp	(479)	0	0	0	0	0
Net interest	116	155	179	222	260	300
Other financial income/(expense)	23	0	0	0	0	0
Profit before tax	**4,855**	**6,347**	**7,079**	**7,893**	**8,345**	**8,525**
Tax	(1,571)	(2,054)	(2,288)	(1,964)	(2,069)	(2,101)
% Tax Rate	34%	34%	34%	26%	26%	26%
Minorities	112	112	112	112	112	112
Net income - adjusted	**3,173**	**4,181**	**4,679**	**5,817**	**6,165**	**6,313**
% Margin	**10.1%**	**11.8%**	**12.3%**	**14.1%**	**14.3%**	**13.9%**
Average shares - Outstanding	418	416	413	410	407	404
Company defined EPS (€) - adjusted	**7.59**	**10.05**	**11.34**	**14.20**	**15.15**	**15.61**
Fully diluted shares - Outstanding	418	416	413	410	407	404
EPS (€) - fully diluted shares	**7.59**	**10.05**	**11.34**	**14.20**	**15.15**	**15.61**
% Growth	***4%***	***32%***	***13%***	***25%***	***7%***	***3%***
DPS (€)	3.35	4.02	4.54	5.68	6.06	6.24

Source: Company data, Barclays Research estimates

FIGURE 14. Safran - Cash Flow statement

Dec Year End (EUR M)	2025A	2026E	2027E	2028E	2029E	2030E
EBIT	**4,716**	**6,192**	**6,900**	**7,672**	**8,085**	**8,225**
Depreciation, amort, provision	1,600	1,753	1,751	1,740	1,731	1,703
Interest	116	155	179	222	260	300
Tax	(1,962)	(2,054)	(2,288)	(1,964)	(2,069)	(2,101)
Other	179	(128)	(147)	(169)	(194)	(223)
Change in WC	1,070	652	(27)	(19)	(84)	10
Cash from operations	**5,719**	**6,571**	**6,368**	**7,482**	**7,730**	**7,914**
Capex (tangible assets)	(1,238)	(1,505)	(1,500)	(1,481)	(1,464)	(1,412)
Capex (intangible assets)	(562)	(495)	(500)	(512)	(518)	(529)
Free cash flow	**3,920**	**4,571**	**4,368**	**5,489**	**5,748**	**5,973**
% Growth	***23%***	***17%***	***-4%***	***26%***	***5%***	***4%***
Net M&A	(1,584)	197	0	0	0	0
Dividends	(1,270)	(1,400)	(1,673)	(1,872)	(2,327)	(2,466)
Change in equity capital	(1,345)	(1,400)	(1,500)	(1,500)	(1,500)	(1,500)
FX / Other non-cash items	278	0	0	0	0	0
Net Debt (increase) / decrease	**0**	**1,967**	**1,196**	**2,117**	**1,921**	**2,008**
Net Debt /(Cash)	**(1,738)**	**(3,705)**	**(4,901)**	**(7,018)**	**(8,939)**	**(10,946)**

Source: Company data, Barclays Research estimates

European Aerospace & Defence — NEUTRAL

Airbus (AIR.PA) — OVERWEIGHT

Income statement (€mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	73,420	79,261	88,526	98,802	10.4%
EBITDA (adj)	10,261	10,851	12,289	14,588	12.4%
EBITA (adj)	7,128	7,518	8,756	10,955	15.4%
EBIT (adj)	7,128	7,518	8,756	10,955	15.4%
NOPAT	5,204	5,489	6,392	8,034	15.6%
Pre-tax income (adj)	7,090	7,490	8,769	11,042	15.9%
Net income (adj)	5,437	5,577	6,513	8,462	15.9%
EPS (adj) (€)	6.87	7.05	8.24	10.70	15.9%
EPS (ex capitalisation/exceptionals) (€)	5.89	6.94	8.17	10.29	20.4%
Diluted shares (mn)	791	791	791	791	0.0%
DPS (€)	3.20	3.50	3.80	4.80	14.5%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	14.0	13.7	13.9	14.8	14.1
EBIT (adj) margin (%)	9.7	9.5	9.9	11.1	10.0
Pre-tax (adj) margin (%)	9.7	9.4	9.9	11.2	10.0
Net (adj) margin (%)	7.4	7.0	7.4	8.6	7.6
ROIC (%)	14.0	13.1	14.1	16.1	14.3
ROA (%)	4.0	4.1	4.6	5.9	4.6
ROE (%)	27.7	21.4	22.4	25.8	24.3

Cash flow and balance sheet (€mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	94	0	0	0	-100.0%
Cash flow from operations	8,261	9,142	10,029	12,441	14.6%
Capital expenditure	-3,964	-4,412	-4,184	-4,184	N/A
Free cash flow	4,574	4,676	5,845	8,257	21.8%
Tangible fixed assets	20,961	21,677	22,588	23,400	3.7%
Intangible fixed assets	16,847	16,847	16,847	16,847	0.0%
Cash and equivalents	27,218	29,307	32,089	37,045	10.8%
Total assets	134,939	140,098	136,863	145,875	2.6%
Short and long-term debt	14,249	14,249	14,249	14,249	0.0%
Pension (deficit)/surplus after tax	-1,255	-955	-655	-355	N/A
Total liabilities	108,755	110,919	103,934	107,484	-0.4%
Shareholders' equity	26,104	29,099	32,849	38,311	13.6%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	26.7	26.0	22.3	17.1	23.0
P/E (ex capitalisation/exceptionals)	31.1	26.4	22.5	17.8	24.5
EV/sales (x)	1.8	1.6	1.4	1.2	1.5
EV/NOPAT (x)	25.3	23.7	19.9	15.2	21.0
EV/EBITDA (adj) (x)	12.9	12.0	10.3	8.4	10.9
Equity FCF yield (%)	3.2	3.2	4.0	5.7	4.0
P/BV (x)	5.5	5.0	4.4	3.8	4.7
Dividend yield (%)	1.7	1.9	2.1	2.6	2.1
Net debt/EBITDA (adj) (x)	-1.3	-1.3	-1.4	-1.5	-1.4

Selected operating metrics	2025A	2026E	2027E	2028E	Average
FCF/NI (x)	0.8	0.8	0.9	1.0	0.9
R&D/sales (%)	4.3	4.4	4.5	4.6	4.5
Capex/sales (%)	5.4	5.6	4.7	4.2	5.0
Total deliveries	793	871	982	1,100	937
Hedge rate (€)	1.19	1.21	1.23	1.22	1.21

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (07-May-2026)	**EUR 183.44**
Price Target	**EUR 220.00**

Why OVERWEIGHT?

We see Airbus as one of the most compelling names in the civil aero sector given the A320's strong competitive position vs. the MAX in the single-aisle market and its balance sheet strength. In addition, relative valuation vs. peers looks attractive, in our view.

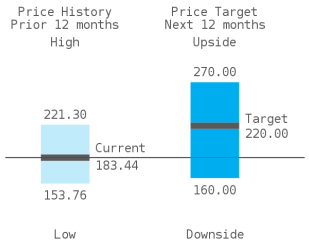
Upside case **EUR 270.00**

Our upside case is based on 16x EV/EBIT and a 6% FCF yield, both of which we apply to our upside case (2028) forecasts, which reflect A320 delivery of 72 per month and pre R&D profit of ~€14mn per plane.

Downside case **EUR 160.00**

Our downside case is based on 14x EV/EBIT and a 6.5% FCF yield, both of which we apply to our downside case (2028) forecasts, which reflect A320 delivery of 60 per month and pre R&D profit of €11mn per A320.

Upside/Downside scenarios



European Aerospace & Defence — NEUTRAL

Melrose Industries PLC (MRON.L) — OVERWEIGHT

Income statement (£mn)	2024A	2025E	2026E	2027E	CAGR
Revenue	3,468	3,530	3,817	4,137	6.1%
EBITDA (adj)	682	790	915	1,055	15.7%
EBITA (adj)	540	645	765	900	18.6%
EBIT (adj)	285	385	500	635	30.6%
NOPAT	N/A	N/A	N/A	N/A	N/A
Pre-tax income (adj)	438	515	653	793	21.9%
Net income (adj)	350	406	513	621	21.1%
EPS (adj) (GBp)	26.4	31.8	40.7	49.3	23.1%
EPS (ex capitalisation/exceptionals)	N/A	N/A	N/A	N/A	N/A
Diluted shares (mn)	1,324	1,275	1,260	1,260	-1.6%
DPS (£)	0.06	0.07	0.09	0.11	21.8%

Margin and return data	2024A	2025E	2026E	2027E	Average
EBITDA (adj) margin (%)	19.7	22.4	24.0	25.5	22.9
EBIT (adj) margin (%)	8.2	10.9	13.1	15.3	11.9
Pre-tax (adj) margin (%)	12.6	14.6	17.1	19.2	15.9
Net (adj) margin (%)	10.1	11.5	13.4	15.0	12.5
ROCE (%)	6.8	8.7	11.4	14.8	10.5
ROA (%)	8.3	9.0	11.6	14.3	10.8
ROE (%)	9.8	14.3	17.5	20.9	15.6

Cash flow and balance sheet (£mn)	2024A	2025E	2026E	2027E	CAGR
Change in working capital	-329	-311	-399	-413	N/A
Cash flow from operations	-24	414	498	628	N/A
Capital expenditure	-118	-125	-145	-133	N/A
Free cash flow	-239	149	219	352	N/A
Equity free cash flow	-239	149	219	352	N/A
Tangible fixed assets	821	806	806	789	-1.3%
Intangible fixed assets	3,094	3,094	3,094	3,094	0.0%
Cash and equivalents	88	88	88	88	0.0%
Total assets	4,224	4,484	4,422	4,332	0.8%
Short and long-term debt	1,409	1,595	1,494	1,283	-3.1%
Pension (deficit)/surplus after tax	N/A	N/A	N/A	N/A	N/A
Total liabilities	4,224	4,484	4,422	4,332	0.8%
Shareholders' equity	2,844	2,925	2,964	3,085	2.7%

Valuation and leverage metrics	2024A	2025E	2026E	2027E	Average
P/E (adj) (x)	19.5	16.2	12.7	10.5	14.7
P/E (ex capitalisation/exceptionals)	N/A	N/A	N/A	N/A	N/A
EV/sales (x)	2.4	2.4	2.2	2.0	2.2
EV/NOPAT (x)	N/A	N/A	N/A	N/A	N/A
EV/EBITDA (adj) (x)	12.0	10.6	9.1	7.7	9.8
Equity FCF yield (%)	-3.5	2.3	3.4	5.4	1.9
P/BV (x)	2.4	2.2	2.2	2.1	2.2
Dividend yield (%)	1.2	1.4	1.7	2.1	1.6
Dividend cover (x)	N/A	N/A	N/A	N/A	N/A
Net debt/EBITDA (adj) (x)	1.9	1.9	1.5	1.1	1.6

Selected operating metrics	2024A	2025E	2026E	2027E	Average
FCF/NI (x)	-0.7	0.4	0.4	0.6	0.2
R&D/sales (%)	N/A	N/A	N/A	N/A	N/A
Capex/sales (%)	3.4	3.5	3.8	3.2	3.5
D&A/sales (%)	11.4	11.5	10.9	10.2	11.0

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (07-May-2026) **GBp 516**
Price Target **GBp 730**

Why OVERWEIGHT?

FY25 marks the start of positive FCF generation, with a CAGR of c50% through FY29 and significantly outstripping growth in variable consideration. We forecast a 600bp increase in operating margin through FY29 and EPS over the same period compounding at +22%.

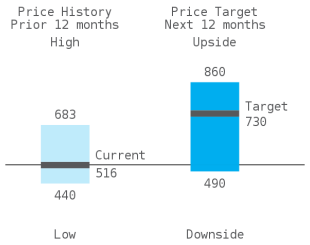
Upside case **GBp 860**

This is based on the undiscounted value from our SOTP valuation.

Downside case **GBp 490**

We apply a discount to our 2025E peer group EV/EBITDA multiples for Aerospace to reflect a more downbeat market backdrop. We then discount the resulting valuation back to FY25.

Upside/Downside scenarios



European Aerospace & Defence — NEUTRAL

MTU Aero Engines (MTXGn.DE) — EQUAL WEIGHT

Income statement (€mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	8,717	9,631	10,357	10,902	7.7%
EBITDA (adj)	1,794	1,890	2,008	2,197	7.0%
EBIT (no capitalisation or exceptionals)	1,294	1,398	1,483	1,636	8.1%
EBIT (adj)	1,351	1,448	1,526	1,672	7.4%
NOPAT	1,031	1,112	1,179	1,297	7.9%
Pre-tax income (adj)	1,268	1,368	1,455	1,612	8.3%
Net income (adj)	968	1,051	1,125	1,250	8.9%
EPS (adj) (€)	17.56	19.08	20.41	22.69	8.9%
EPS (ex capitalisation/exceptionals) (€)	16.24	17.59	18.99	21.29	9.4%
Diluted shares (mn)	55	55	55	55	0.0%
DPS (€)	3.60	3.90	5.20	6.90	24.2%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	20.6	19.6	19.4	20.1	19.9
EBIT (adj) margin (%)	15.5	15.0	14.7	15.3	15.2
Pre-tax (adj) margin (%)	14.5	14.2	14.0	14.8	14.4
Net (adj) margin (%)	11.1	10.9	10.9	11.5	11.1
ROA (%)	8.3	8.7	7.4	7.7	8.0
ROE (%)	28.8	24.4	22.0	20.9	24.0

Cash flow and balance sheet (€mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	-404	-414	-181	-142	N/A
Cash flow from operations	848	1,014	1,267	1,430	19.0%
Capital expenditure	-485	-455	-461	-466	N/A
Free cash flow	378	554	801	959	36.4%
Tangible fixed assets	1,978	1,518	1,604	1,721	-4.5%
Intangible fixed assets	2,202	2,215	2,223	2,226	0.4%
Cash and equivalents	1,256	1,494	2,085	2,764	30.1%
Total assets	12,722	15,845	16,946	18,022	12.3%
Short and long-term debt	2,428	2,427	2,427	2,427	0.0%
Pension (deficit)/surplus after tax	-671	-671	-671	-671	N/A
Total liabilities	8,345	10,660	10,895	11,030	9.7%
Shareholders' equity	4,314	5,123	5,990	6,931	17.1%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	18.1	16.6	15.6	14.0	16.1
P/E (ex capitalisation/exceptionals)	19.5	18.0	16.7	14.9	17.3
EV/sales (x)	2.1	1.9	1.7	1.6	1.8
EV/NOPAT (x)	18.2	16.6	15.2	13.3	15.8
EV/EBITDA (adj) (x)	10.4	9.8	8.9	7.8	9.2
Equity FCF yield (%)	2.2	3.2	4.6	5.5	3.8
P/BV (x)	4.1	3.4	2.9	2.5	3.2
Dividend yield (%)	1.1	1.2	1.6	2.2	1.5
Net debt/EBITDA (adj) (x)	0.6	0.5	0.2	-0.2	0.3

Selected operating metrics	2025A	2026E	2027E	2028E	Average
FCF/NI (x)	0.4	0.5	0.7	0.8	0.6
R&D/sales (%)	2.7	2.5	2.4	2.3	2.5
Capex/sales (%)	5.6	4.7	4.5	4.3	4.8
D&A/sales (%)	5.1	4.6	4.7	4.8	4.8
OEM OE growth (%)	22.4	10.7	2.2	7.2	10.6
OEM spares growth (%)	10.2	9.6	10.1	8.9	9.7
MRO growth (%)	23	12	11	8	13

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (07-May-2026) **EUR 317.40**
Price Target **EUR 415.00**

Why EQUAL WEIGHT?

Despite the robust FCF stream from the V2500 engine aftermarket, we expect MTU's cash flow to be weak over 2025-27E as a result of the GTF inspections, with a ~€700mn post-tax liability forecast to flow out in the next three years. We see this limiting MTU's ability to return excess cash flow to shareholders relative to peers.

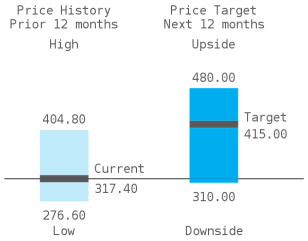
Upside case **EUR 480.00**

Our upside case is based on the midpoint of 17x EV/EBIT and a 5% FCF yield, both applied to our 2028E upside case, which reflects spares volume up at a 13% CAGR over 2024-28 and group margin of ~16%.

Downside case **EUR 310.00**

Our downside case is based on the midpoint of 16x EV/EBIT and a 5.5% FCF yield, both applied to our 2028E downside case, which reflects spares volume up at a 5% CAGR over 2024-28,and group margin of ~14% .

Upside/Downside scenarios



European Aerospace & Defence — NEUTRAL

Safran (SAF.PA) — OVERWEIGHT

Income statement (€mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	31,329	35,523	38,118	41,147	9.5%
EBITDA (adj)	6,316	7,945	8,650	9,412	14.2%
EBIT (no capitalisation or exceptionals)	5,142.4	6,069.0	6,813.4	7,737.8	14.6%
EBIT (adj)	5,195	6,192	6,900	7,672	13.9%
NOPAT	3,434	4,104	4,573	5,677	18.2%
Pre-tax income (adj)	4,855	6,347	7,079	7,893	17.6%
Net income (adj)	3,173	4,181	4,679	5,817	22.4%
EPS (adj) (€)	7.59	10.05	11.34	14.20	23.2%
EPS (ex capitalisation/exceptionals)	8.6	10.3	11.7	14.9	20.0%
Diluted shares (mn)	418	416	413	410	-0.7%
DPS (€)	3.35	4.02	4.54	5.68	19.2%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	20.2	22.4	22.7	22.9	22.0
EBIT (adj) margin (%)	16.6	17.4	18.1	18.6	17.7
Pre-tax (adj) margin (%)	15.5	17.9	18.6	19.2	17.8
Net (adj) margin (%)	10.1	11.8	12.3	14.1	12.1
ROA (%)	6.2	6.6	6.8	7.8	6.9
ROE (%)	31.2	28.2	26.6	28.2	28.5

Cash flow and balance sheet (€mn)	2025A	2026E	2027E	2028E	CAGR
Change in working capital	1,070	652	-27	-19	N/A
Cash flow from operations	5,719	6,571	6,368	7,482	9.4%
Capital expenditure	-1,799	-2,000	-2,000	-1,993	N/A
Free cash flow	3,920	4,571	4,368	5,489	11.9%
Tangible fixed assets	5,417	7,210	9,143	11,083	27.0%
Intangible fixed assets	13,258	13,105	12,957	12,827	-1.1%
Cash and equivalents	6,789	8,756	9,952	12,069	21.1%
Total assets	61,814	66,998	72,663	78,974	8.5%
Short and long-term debt	5,051	5,051	5,051	5,051	0.0%
Pension (deficit)/surplus after tax	-679	-679	-679	-679	N/A
Total liabilities	46,353	48,755	51,412	53,777	5.1%
Shareholders' equity	14,839	17,621	20,629	24,575	18.3%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	38.8	29.3	26.0	20.8	28.7
P/E (ex capitalisation/exceptionals)	34.1	28.7	25.3	19.7	27.0
EV/sales (x)	3.9	3.4	3.1	2.8	3.3
EV/NOPAT (x)	35.7	29.4	26.1	20.6	27.9
EV/EBITDA (adj) (x)	19.4	15.2	13.8	12.5	15.2
Equity FCF yield (%)	3.2	3.7	3.6	4.5	3.8
P/BV (x)	8.3	7.0	5.9	4.9	6.5
Dividend yield (%)	1.1	1.4	1.5	1.9	1.5
Net debt/EBITDA (adj) (x)	-0.3	-0.5	-0.6	-0.7	-0.5

Selected operating metrics	2025A	2026E	2027E	2028E	Average
FCF/EBIT (adj) (x)	0.8	0.7	0.6	0.7	0.7
R&D/sales (%)	4.5	4.5	4.5	4.5	4.5
Capex/sales (%)	5.7	5.6	5.2	4.8	5.4
D&A/sales (%)	5.1	4.9	4.6	4.2	4.7
Civil engine aftermarket growth (%)	22.6	17.1	10.2	9.5	14.8

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (07-May-2026) **EUR 294.80**
Price Target **EUR 330.00**

Why OVERWEIGHT?

Central to our positive stance on Safran is the superior and strong earnings/ FCF visibility both in absolute and relative to peers driven by CFM56/LEAP engine installed base. €5Bn of buybacks to be executed over 2025-28E.

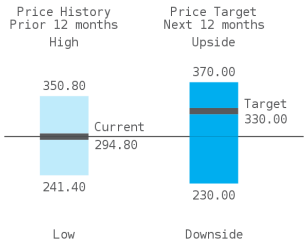
Upside case **EUR 370.00**

Our upside case is based on the midpoint of 18.5x EV/EBIT and a 4% FCF yield, both applied to our 2028 upside case which reflects a Group revenue CAGR of 16% over 2024-28 and group underlying margins close to ~20%.

Downside case **EUR 230.00**

Our downside case is based the midpoint of 17x EV/EBIT and a 4.5% FCF yield, both applied to our 2028 downside case which reflects a Group revenue CAGR of 8% over 2024-28 and group underlying margins of 16%.

Upside/Downside scenarios



Valuation Methodology and Risks

European Aerospace & Defence

Airbus (AIR FP / AIR.PA)

Valuation Methodology: We value European commercial aerospace stocks based on the midpoint of a relative EV/EBIT and FCF yield applied to our 2028E forecasts. We then include the discounted dividend stream over 2025-28. While in our forecasts we assume the €:$ spot rate for year 1 and use the forward rate for future years (which shows a 2-3 cent annual deterioration versus the current spot rate) to reflect the group's actual economic value, our approach is to mark to market the earnings and FCF and then adjust the out-of-the-money hedge book value at the current spot rate when computing the Enterprise Value. For Airbus, we use a 15x EV/EBIT multiple (a discount to the multiple we apply to commercial aero aftermarket suppliers) and a 6% FCF yield.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Downside risk specific to Airbus could come from failure to execute on the manufacture of aircraft on schedule and/or costs.

MTU Aero Engines (MTX GY / MTXGn.DE)

Valuation Methodology: We base our valuation on relative EV/EBIT and FCF yield, applied to 2028E. This value is then discounted back to today at 9%. Our price target is based on the midpoint of a 17x 2028E EV/EBIT multiple and a 5% 2028E FCF yield. The valuation is set at a discount to engine peers to reflect higher spare-engine ratio on the GTF, which inflates earnings. While in our forecasts we assume the $:€ spot rate for year 1 and use the forward rate for future years (which shows a 2-3 cent annual deterioration vs. the current spot rate) to reflect the group's actual economic value, our approach consists of marking-to-market the earnings and FCF and then adjusting the out-of-the-money hedge book at the current spot rate when computing Enterprise Value.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: General industry risks include the health of the cycle, which could lead to upward/downward revisions to our forecasts and to the multiples applied. Risks specific to MTU depend on (1) weaker/stronger aftermarket demand than we assume, (2) a weaker/stronger $ vs. € than we assume, and (3) performance issues with the GTF engine.

Safran (SAF FP / SAF.PA)

Valuation Methodology: For Safran, our price target is based on the midpoint of 18x 2028E EV/EBIT and a 4% FCF yield-based valuation, a premium to OE commercial aero peers to reflect the aftermarket bias (~50% of group sales). The implied 2028 value we find is then discounted back to today at 8%. We then include the discounted dividend stream over 2026-28E. While in our forecasts we assume the €:$ spot rate for year 1 and use the forward rate for future years (which shows a 2-3 cent annual deterioration vs. current spot rate) to reflect the group's actual economic value; our approach consists of marking to market earnings and FCF and then adjusting the hedge book at the current spot rate when computing Enterprise Value.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: General industry risks include concerns around the health of the cycle that could lead to downward revisions to forecasts and compress the multiples applied. Risks specific to Safran relate to (1) weaker aftermarket demand, (2) weakening $ versus €, and (3) performance issues with the Leap engine.

Source: Barclays Research

Analyst(s) Certification(s):
We, Milene Kerner, Sambhav Kochar and Afonso Osorio, CFA, hereby certify (1) that the views expressed in this research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

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Primary Stocks (Ticker, Date, Price)
Airbus (AIR.PA, 07-May-2026, EUR 183.44), Overweight/Neutral, A/CD/D/E/J/K/L/M/N

MTU Aero Engines (MTXGn.DE, 07-May-2026, EUR 317.40), Equal Weight/Neutral, CD/J

Melrose Industries PLC (MRON.L, 07-May-2026, GBp 516), Overweight/Neutral, J/K/M/N

Safran (SAF.PA, 07-May-2026, EUR 294.80), Overweight/Neutral, CD/E/J/K/L/M/N

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In addition to the stock rating, we provide industry views which rate the outlook for the industry coverage universe as Positive, Neutral or Negative (see definitions below). A rating system using terms such as buy, hold and sell is not the equivalent of our rating system. Investors should carefully read the entire research report including the definitions of all ratings and not infer its contents from ratings alone.

Stock Rating
Overweight - The stock is expected to outperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Equal Weight - The stock is expected to perform in line with the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

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Positive - industry coverage universe fundamentals/valuations are improving.

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European Aerospace & Defence

Airbus (AIR.PA)	Avon Technologies PLC (AVON.L)	BAE Systems (BAES.L)
Hensoldt AG (HAGG.DE)	Leonardo (LDOF.MI)	Melrose Industries PLC (MRON.L)

MTU Aero Engines (MTXGn.DE)	Qinetiq Group PLC (QQ.L)	Rheinmetall (RHMG.DE)
Saab AB (SAABb.ST)	Safran (SAF.PA)	Thales (TCFP.PA)

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Barclays Equity Research has 1853 companies under coverage.

51% have been assigned an Overweight rating which, for purposes of mandatory regulatory disclosures, is classified as a Buy rating; 45% of companies with this rating are investment banking clients of the Firm; 64% of the issuers with this rating have received financial services from the Firm.

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Airbus (AIR FP / AIR.PA)

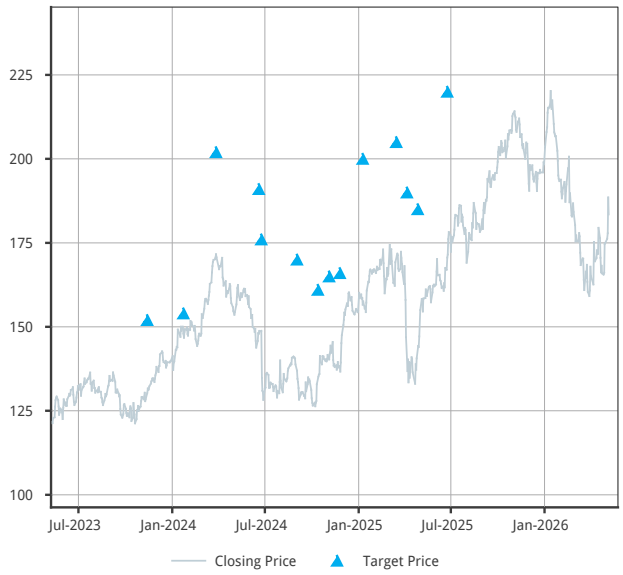
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **EUR 183.44** (07-May-2026)

Rating and Price Target Chart - EUR (as of 07-May-2026)

Currency=EUR



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
24-Jun-2025	170.60		220.00
27-Apr-2025	140.60		185.00
06-Apr-2025	158.02		190.00
16-Mar-2025	169.20		205.00
09-Jan-2025	156.58		200.00
25-Nov-2024	137.94		166.00
04-Nov-2024	140.28		165.00
13-Oct-2024	132.92		161.00
02-Sep-2024	138.82		170.00
24-Jun-2024	148.78		176.00
19-Jun-2024	148.12		191.00
27-Mar-2024	170.12		202.00
23-Jan-2024	148.00		154.00
13-Nov-2023	128.48		152.00

On 08-May-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 151.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: We value European commercial aerospace stocks based on the midpoint of a relative EV/EBIT and FCF yield applied to our 2028E forecasts. We then include the discounted dividend stream over 2025-28. While in our forecasts we assume the €:$ spot rate for year 1 and use the forward rate for future years (which shows a 2-3 cent annual deterioration versus the current spot rate) to reflect the group's actual economic value, our approach is to mark to market the earnings and FCF and then adjust the out-of-the-money hedge book value at the current spot rate when computing the Enterprise Value. For Airbus, we use a 15x EV/EBIT multiple (a discount to the multiple we apply to commercial aero aftermarket suppliers) and a 6% FCF yield.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Downside risk specific to Airbus could come from failure to execute on the manufacture of aircraft on schedule and/or costs.

Melrose Industries PLC (MRO LN / MRON.L)

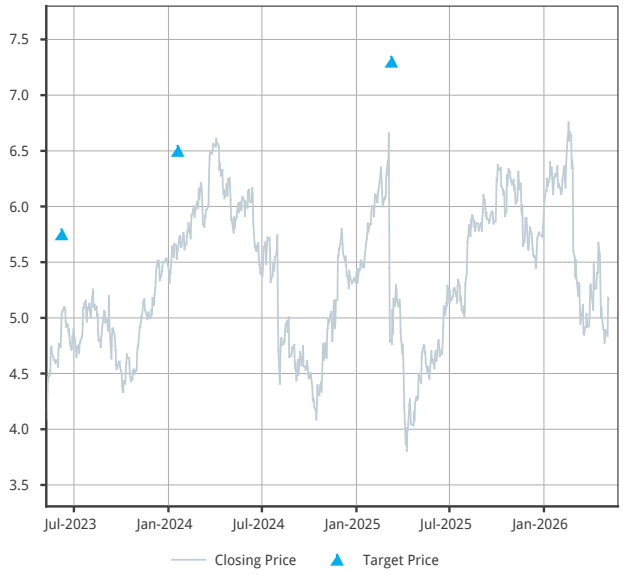
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **GBp 516** (07-May-2026)

Rating and Price Target Chart - GBP (as of 07-May-2026)

Currency=GBP



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
10-Mar-2025	4.89		7.30
19-Jan-2024	5.79		6.50
07-Jun-2023	4.90		5.75

On 08-May-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 4.50.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our price target is based on a SOTP approach. For each division (Engines & Structures) we derive target EV/EBITDA multiples based on relevant global peers. These multiples are then weighted according to each division's percentage of group EBITDA to give us a value for the group as a whole, based on our FY25 forecasts. We then discount the resulting valuation back to a value today to set our price target.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Our forecasts, like consensus, discount improving group margins. Delays to implementation of self-help actions, a difference in profitability mix or the restructuring payback being below initial expectations could detrimentally affect group performance. Also a strengthening UK£ is a headwind to the group. Alternatively, should management prove cautious with its guidance and the profitability mix be better than expected, accompanied by payback from self-help actions, it could result in increases to our estimates.

MTU Aero Engines (MTX GY / MTXGn.DE)

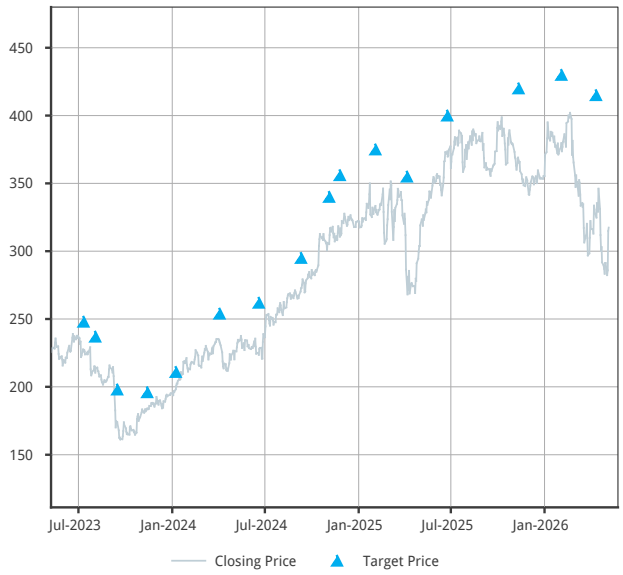
Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **EUR 317.40** (07-May-2026)

Rating and Price Target Chart - EUR (as of 07-May-2026)

Currency=EUR



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
12-Apr-2026	330.60		415.00
03-Feb-2026	376.70		430.00
11-Nov-2025	369.00		420.00
24-Jun-2025	373.50		400.00
06-Apr-2025	311.80		355.00
03-Feb-2025	330.70		375.00
25-Nov-2024	318.40		356.00
04-Nov-2024	305.30		340.00
10-Sep-2024	272.70		295.00
19-Jun-2024	225.00		262.00
03-Apr-2024	233.00		254.00
08-Jan-2024	196.30		211.00
13-Nov-2023	182.05		196.00
15-Sep-2023	174.70		198.00
03-Aug-2023	215.10		237.00
11-Jul-2023	223.10		248.00

On 08-May-2023, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 239.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: We base our valuation on relative EV/EBIT and FCF yield, applied to 2028E. This value is then discounted back to today at 9%. Our price target is based on the midpoint of a 17x 2028E EV/EBIT multiple and a 5% 2028E FCF yield. The valuation is set at a discount to engine peers to reflect higher spare-engine ratio on the GTF, which inflates earnings. While in our forecasts we assume the $:€ spot rate for year 1 and use the forward rate for future years (which shows a 2-3 cent annual deterioration vs. the current spot rate) to reflect the group's actual economic value, our approach consists of marking-to-market the earnings and FCF and then adjusting the out-of-the-money hedge book at the current spot rate when computing Enterprise Value.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: General industry risks include the health of the cycle, which could lead to upward/downward revisions to our forecasts and to the multiples applied. Risks specific to MTU depend on (1) weaker/stronger aftermarket demand than we assume, (2) a weaker/stronger $ vs. € than we assume, and (3) performance issues with the GTF engine.

Safran (SAF FP / SAF.PA)

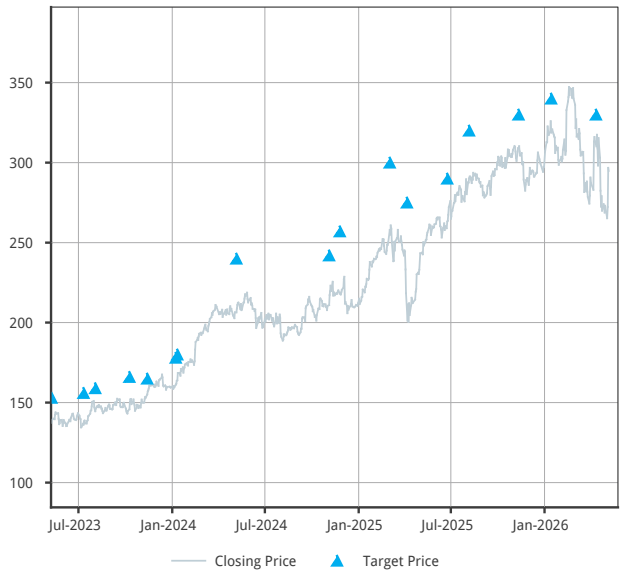
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **EUR 294.80** (07-May-2026)

Rating and Price Target Chart - EUR (as of 07-May-2026)

Currency=EUR



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
12-Apr-2026	316.00		330.00
14-Jan-2026	325.80		340.00
11-Nov-2025	309.00		330.00
06-Aug-2025	287.50		320.00
24-Jun-2025	263.10		290.00
06-Apr-2025	233.20		275.00
03-Mar-2025	250.10		300.00
25-Nov-2024	220.10		257.00
04-Nov-2024	210.90		242.00
06-May-2024	206.40		240.00
11-Jan-2024	163.62		180.00
08-Jan-2024	159.54		178.00
13-Nov-2023	153.08		165.00
09-Oct-2023	143.22		166.00
03-Aug-2023	147.16		159.00
11-Jul-2023	136.84		156.00
09-May-2023	137.70		153.00

On 08-May-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 150.00.

Source: Bloomberg, Barclays Research

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N: Safran is, or during the past 12 months has been, a non-investment banking client (non-securities related services) of Barclays Bank PLC and/or an affiliate.

Valuation Methodology: For Safran, our price target is based on the midpoint of 18x 2028E EV/EBIT and a 4% FCF yield-based valuation, a premium to OE commercial aero peers to reflect the aftermarket bias (~50% of group sales). The implied 2028 value we find is then discounted back to today at 8%. We then include the discounted dividend stream over 2026-28E. While in our forecasts we assume the €:$ spot rate for year 1 and use the forward rate for future years (which shows a 2-3 cent annual deterioration vs. current spot rate) to reflect the group's actual economic value; our approach consists of marking to market earnings and FCF and then adjusting the hedge book at the current spot rate when computing Enterprise Value.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: General industry risks include concerns around the health of the cycle that could lead to downward revisions to forecasts and compress the multiples applied. Risks specific to Safran relate to (1) weaker aftermarket demand, (2) weakening $ versus €, and (3) performance issues with the Leap engine.

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